NOVA SCHOOL OF BUSINESS & ECONOMICS

# Grab Holdings (NASDAQ: GRAB)

Stock Price: $2.68

Price Target (May 2027): $3.62 (34.9% Upside)

## Long Equity

Style: GARP | Sector: Industrials / Mobility & Delivery

Nova Students Portfolio | Quinten Goodman

October 2026

# Company & Industry Overview

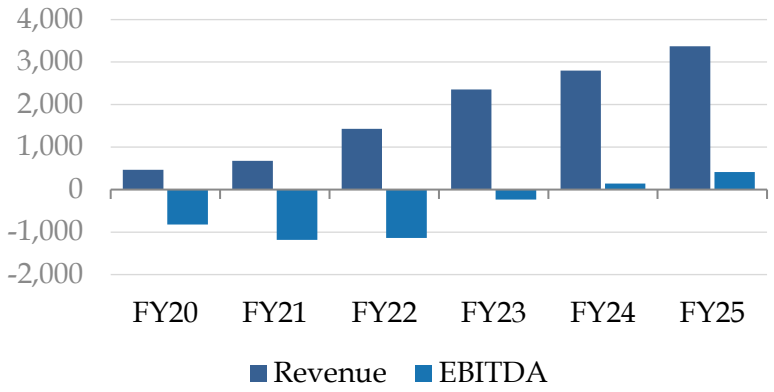


Grab is Southeast Asia's everyday app: rides, food delivery and payments in one app, in 8 countries.

## Business Overview

- **Founded 2012** in Malaysia; HQ Singapore; on Nasdaq since Dec 2021
- **One app, three businesses:** deliveries, rides and financial services in 8 countries
- **Scale:** 53.9M monthly users in Q2 2026, +17% vs Q2 2025
- **Now profitable:** first full-year net profit in FY2025

## Revenue & EBITDA (USD MM)




Uber sold its Southeast Asian business to Grab in 2018 and still owns 13%; it cannot compete in the region while it holds Grab shares.

## Industry Overview

- **Delivery rivals:** ShopeeFood, Foodpanda, Gojek (Indonesia), Line Man (Thailand)
- **Payment rivals:** ShopeePay, GoPay and Dana (Indonesia), Touch 'n Go (Malaysia)
- **Regulation:** Indonesia caps ride fees; Singapore and Malaysia mandate driver benefits

## Key Statistics

| | |
|---|---|
| Share Price | **$2.68** |
| Market Capitalization | **$11.0bn** |
| 52-Week Range | **$2.68 – $6.24** |
| Enterprise Value | **$7.3bn** |
| EV/EBITDA (LTM) | **12.1x** |
| Dividend Yield | **n/a** |
| Beta | **0.81** |

# Products & Revenue Sources (Q2 2026)



In Q2 2026, rides and delivery brought in 86% of revenue; fintech is the smallest but grew fastest (+59% vs Q2 2025).

## Deliveries

**$531M**

53% of Q2 2026 revenue | +21% vs Q2 2025

- **GrabFood:** restaurant delivery; 55% of the region's food delivery
- **GrabMart:** groceries; grew 1.7x faster than food in Q2 2026
- **GrabExpress:** parcel and courier delivery
- **Advertising:** restaurants and brands pay to be seen in the app

### How it earns

Commission from merchants, delivery and platform fees from users, and advertising.

## Mobility

**$331M**

33% of Q2 2026 revenue | +12% vs Q2 2025

- **GrabCar:** private cars and taxis
- **GrabBike:** motorbike taxis (Indonesia's 8% cap applies)
- **Saver rides:** cheaper tier; 1 in 4 new riders
- **Airport rides:** over 10% of Mobility bookings

### How it earns

A share of every fare (the take rate), less driver incentives.

## Financial Services

**$134M**

13% of Q2 2026 revenue | +59% vs Q2 2025

- **GrabPay and OVO:** e-wallets (OVO in Indonesia)
- **Loans and PayLater:** to users, drivers and merchants; $2.3B book
- **Digital banks:** GXS (SG), GXBank (MY), Superbank (ID)

### How it earns

Interest on loans, payment fees and deposit spread; breakeven guided for H2 2026.

One app, three ways to earn from the same user: Grab's 53.9M monthly users ride, order and borrow.

*Source: Grab Q2 2026 results and earnings call*

# Market Overview



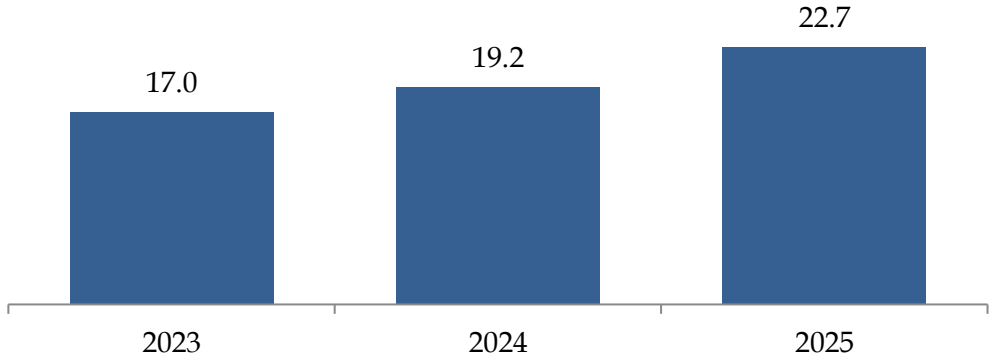
Southeast Asia's digital economy grew ~15% in 2025, and Grab leads in both food delivery and rides.

## A Growing Market That Grab Leads

- **Digital economy:** over $300B of spending in 2025, ~15% more than 2024
- **Food delivery:** ~$23B of orders in 2025; ad revenue +60-90% vs 2024
- **Rides:** $11.5B of bookings in 2025; Grab has 62% of Vietnam and 50% of Indonesia
- **Payments:** over 60% of payments in the region are already digital
- **Rivals:** ShopeeFood (No. 2 in food), Gojek (Indonesian rides), Xanh SM (Vietnam, >25%)

Grab grows faster than its market (orders +21% in Q2 2026 vs food delivery +18% in 2025), and ~40% of payments are still cash (US: ~14%).

## SEA Food Delivery Orders (USD bn)




*Source: Momentum Works ($22.7B 2025, +18%; +13% 2024); 2023-24 back-calculated*

## Grab's Market Share by GMV (%)



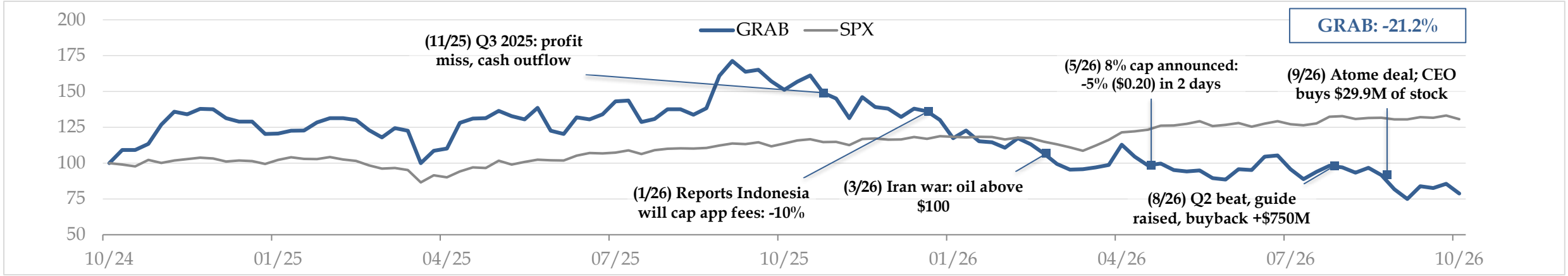

*Source: Momentum Works (food, 6 countries); ABI Research, Mar 2026 (rides)*

# Situation Overview

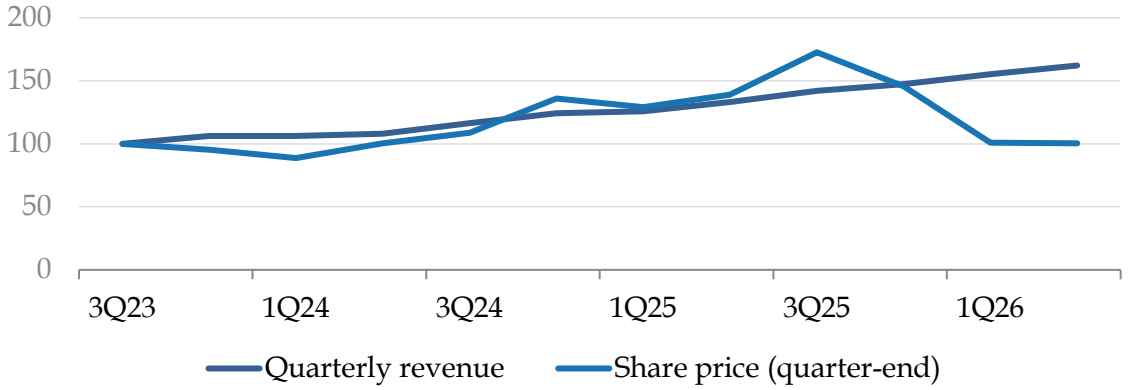


Grab is now profitable and growing ~20% a year, yet the stock has halved since Sep 2025 on regulation fears.

## Share Price Performance vs SPX (Rebased to 100)




## Revenue +72% Since 3Q23, Share Price Flat (3Q23 = 100)




## Why This Opportunity Exists

### Profitable growth is here

- Q2 2026 vs Q2 2025, revenue +22% and adj. EBITDA +54%; first full-year profit in FY2025.

### The selloff is about regulation

- Indonesia's 8% fee cap covers motorbike taxis only: ~6% of ride bookings.

### Insiders are buying

- CEO bought $29.9M of stock; ~$900M of buybacks left to spend by Sep 2027.

# Investment Thesis Summary



Today's price already reflects the bad case (wider fee caps, slower growth); rising profits and fintech would be extra upside.

**Scale Is Now Profit**

- Q2 2026 vs Q2 2025: adj. EBITDA +54%, revenue +22%; margin 13% to 17%
- Overheads flat while ads and groceries add high-margin revenue
- No. 1 in regional food delivery (55%) with 53.9M monthly users

**Fintech and Atome, the Second Engine**

- Lends to users it already knows; loan book ~3x in a year, to $2.3B
- Atome ($1.49B for 60%) adds a $1.0B pay-later book in 5 markets
- Loss narrowing (-$26M to -$15M a quarter); breakeven guided for H2 2026

**The Price Already Reflects Fee Caps**

- Only fee cap today (Indonesian motorbike taxis): ~1% of revenue
- Even if car rides are capped too, our value ($3.04) is above $2.68
- The CEO bought $29.9M of stock at ~$2.89 in September 2026

## Price Target

| | |
|---|---|
| Current Price | **$2.68** |
| Target (May 2027) | **$3.62** |
| Implied Upside | **+34.9%** |

## Valuation Range

| | |
|---|---|
| DCF (base case) | **$3.39** |
| EV/EBITDA LTM | **$4.31** |
| EV/EBITDA FY1 | **$3.89** |
| P/E LTM | **$4.13** |
| Consensus TP | **$5.43** |

# Investment Driver I – Scale Is Now Profit



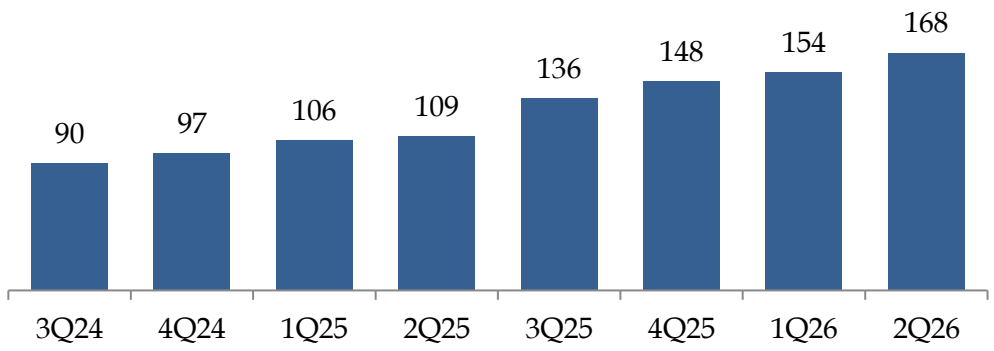
Revenue is growing faster than costs, so margins rise; ads, groceries and flat overheads should keep it going.

## Why Margins Keep Rising

- **Operating leverage:** Q2 2026 vs Q2 2025, adj. EBITDA +54% on revenue +22%; margin 13.3% to 16.9%
- **Flat overheads:** corporate costs guided broadly stable for H2 2026
- **Deliveries:** profit +53% vs Q2 2025 ($63M to $96M), from ads and efficiency; margin 1.8% to 2.3% of orders
- **Scale:** 55% of regional food delivery in 2025; 53.9M monthly users (+17% vs Q2 2025)
- **Watch:** incentives rose to 10.9% of order value (from 10.1% in 3Q25), partly fuel support

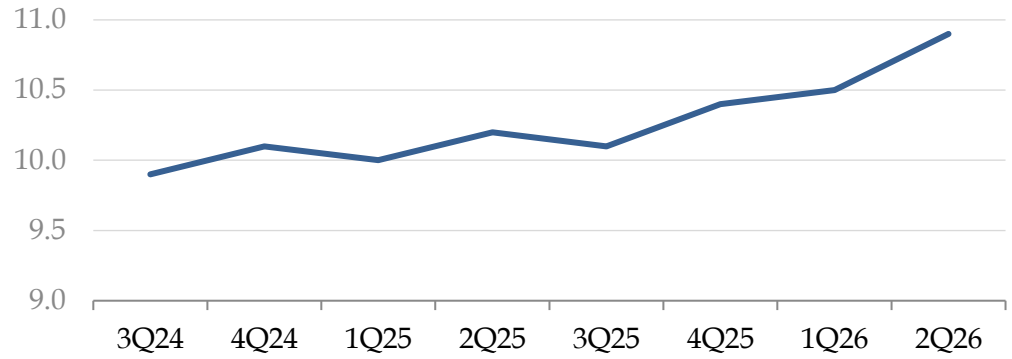
Incentives are ~4x EBITDA ($706M vs $168M in Q2 2026). Cutting them from 10.9% to 9.9% of order value would add ~$65M a quarter: ~40% more EBITDA.

## Adjusted EBITDA by Quarter (USD MM)




*Source: Grab quarterly results*

## Incentives as % of Order Value (On-Demand GMV)




*Source: Grab results; 3Q24-2Q25 derived from reported year-on-year changes*

# Investment Driver II – Fintech and Atome, the Second Engine

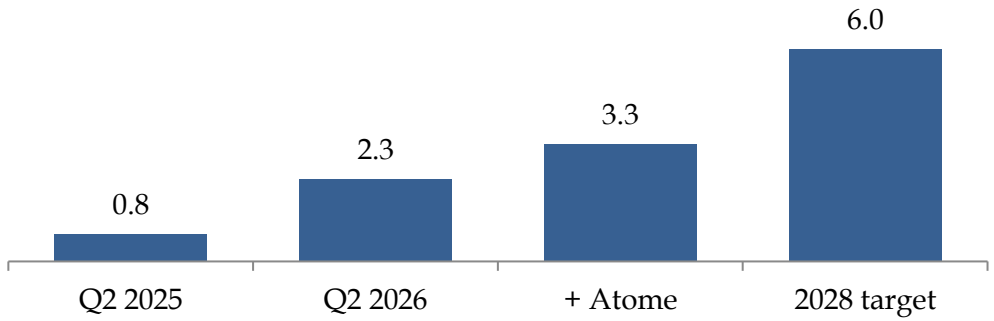
Grab lends to customers it already knows, and Atome adds a $1B loan book; today's small loss comes from growing loans ~3x a year.

## Lending to Users Grab Already Knows

- **Ecosystem edge:** borrowers already use the app; finding them costs almost nothing
- **Scale:** loan book ~3x in a year, to $2.3B (Jun 2026); Superbank profitable since FY2025
- **Atome:** $1.49B for 60% of a pay-later lender in 5 markets; $1.0B loan book
- **Demand:** Malaysia pay-later spending ~US$3.5B (RM14.7B) in H1 2026, +22% vs H2 2025; 9.2M users
- **Path:** quarterly loss -$26M (Q2 2025) to -$15M (Q2 2026); breakeven guided H2 2026

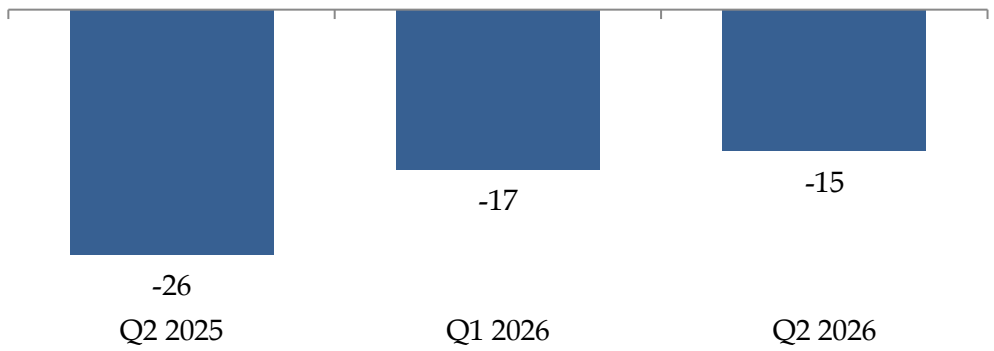
Why it still loses money: lenders book expected losses when a loan is made, and interest arrives later - fast growth looks costly at first.

## Gross Loan Book (USD bn)




*Source: Grab Q2 2026 results; Atome 6-K (Sep 2026, $1.0B book; target "over $6B")*

## Financial Services Segment Adj. EBITDA (USD MM)



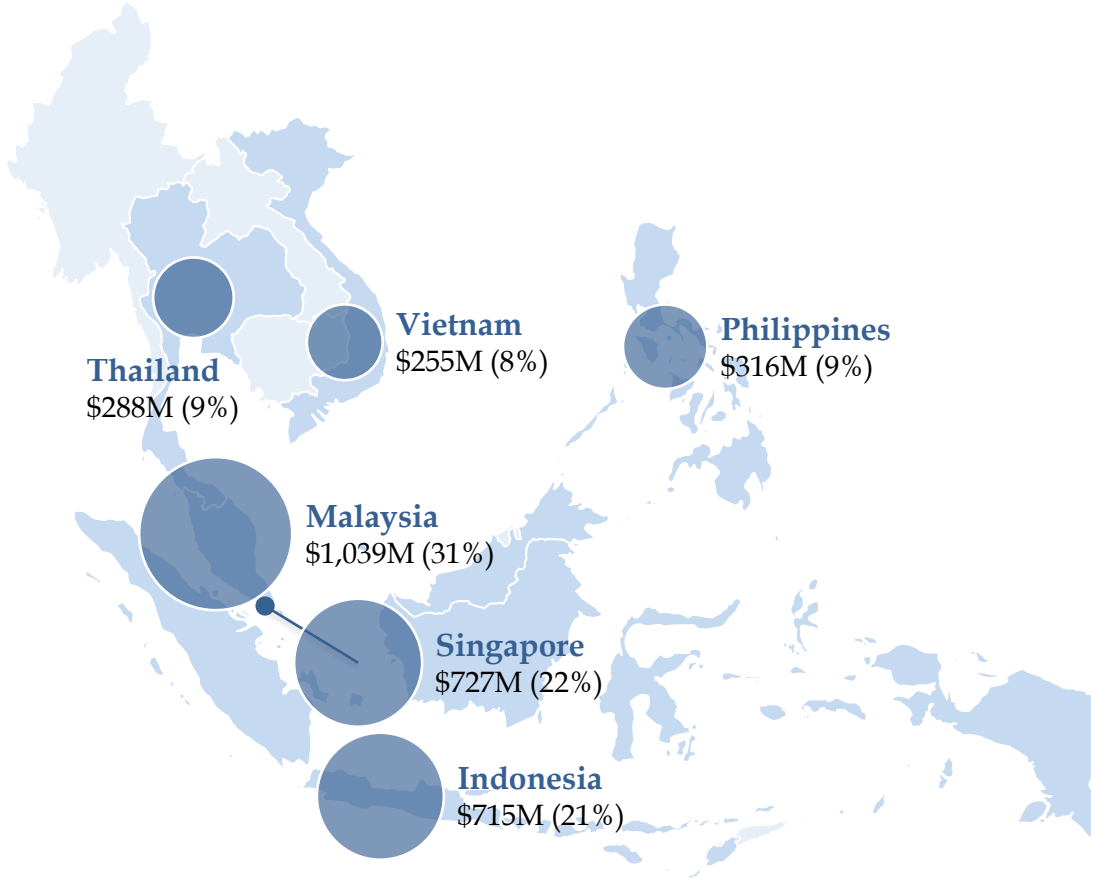

*Source: Grab Q2 2026 results*

# Investment Driver III – The Price Already Reflects Fee Caps



Today's only fee cap costs ~1% of revenue; even if Indonesia also caps car rides, our value ($3.04) is above today's $2.68.

## Grab Revenue by Country, 2025 (USD MM)




*Bubble = 2025 revenue. Source: Grab FY2025 20-F; national regulators and press (see notes)*

## Regulation by Country

| Country | Share | Growth vs 2024 | In Force | Effect on Grab |
|---|---|---|---|---|
| **Malaysia** | 31% | +27% | Gig Workers Act (2025): driver social security | Higher cost per driver; no fee cap |
| **Singapore** | 22% | +26% | Platform Workers Act (2025): driver pensions | Pension cost rises yearly to 2029; no fee cap |
| **Indonesia** | 21% | +11% | 8% cap on motorbike-taxi fees (Jul 2026) | Revenue -1.2% (~$0.11 a share); cars discussed |
| **Philippines** | 9% | +19% | No cap; 15% on cars floated (not law) | None; Grab cut its car commission to 18% itself |
| **Thailand** | 9% | +14% | Government sets fares; no commission rule | None on Grab's commission |
| **Vietnam** | 8% | +12% | Regulator reviewing driver fees (Sep 2026) | None yet; a ruling could limit fees |

Today's cap costs ~1.2% of revenue: ~$0.11 a share (~4% of the price). Yet the May announcement cut the shares $0.20 (-5%), and January's reports -10%.

# Comparable Company Analysis



On 2026 forecast earnings, Grab trades at 17.9x vs ~31x for its closest peers (EBITDA 10.0x vs ~15x), with ~$5B of net cash.

## Closest 8 of 9 Peers by Similarity (statistics use all; weights in the last column)

| Company | Mkt Cap ($bn) | EV/EBITDA LTM | EV/EBITDA FY1 | P/E LTM | P/E FY1 | EV/Sales LTM | Sim. Weight |
|---|---|---|---|---|---|---|---|
| Sea | 44.2 | 13.9x | 10.1x | 29.7x | 25.7x | 1.4x | 17% |
| Doordash | 79.9 | 37.0x | 20.9x | 96.9x | 71.0x | 4.9x | 15% |
| Lyft | 6.4 | 20.8x | 8.1x | 2.4x | 31.7x | 0.8x | 12% |
| MercadoLibre | 94.0 | 25.4x | 24.3x | 50.5x | 47.7x | 2.8x | 11% |
| Delivery Hero SE | 13.1 | 34.6x | 14.8x | n/a | n/a | 0.9x | 10% |
| Meituan | 56.1 | n/a | 28.3x | n/a | 188.2x | 0.8x | 10% |
| Uber Technologies | 138.1 | 18.0x | 13.1x | 14.8x | 20.5x | 2.7x | 9% |
| GoTo Gojek Tokopedia | 1.6 | 1.8x | 0.9x | n/a | 30.0x | n/a | 8% |
| **25th Percentile** | **13.1** | **17.0x** | **10.1x** | **16.3x** | **24.4x** | **0.9x** | |
| **Median** | **56.1** | **23.0x** | **14.8x** | **25.1x** | **30.8x** | **2.0x** | |
| **75th Percentile** | **79.9** | **27.7x** | **21.8x** | **45.3x** | **53.5x** | **3.3x** | |
| **Similarity-Weighted** | | **20.8x** | **14.8x** | **29.7x** | **31.7x** | **1.4x** | |
| **Grab Holdings** | **11.0** | **12.1x** | **10.0x** | **19.3x** | **17.9x** | **2.0x** | |

## Why These Peers

- Ride-hailing and delivery (Uber, DoorDash, Lyft, GoTo, Meituan, Delivery Hero) plus emerging-market platforms (Sea, MercadoLibre, Nu)
- LTM = last 12 months; FY1 = analysts' forecast for this year (2026)
- Peer multiples ignore stock-based pay, so they flatter Grab; our target uses the DCF ($3.62)

## Implied Share Price

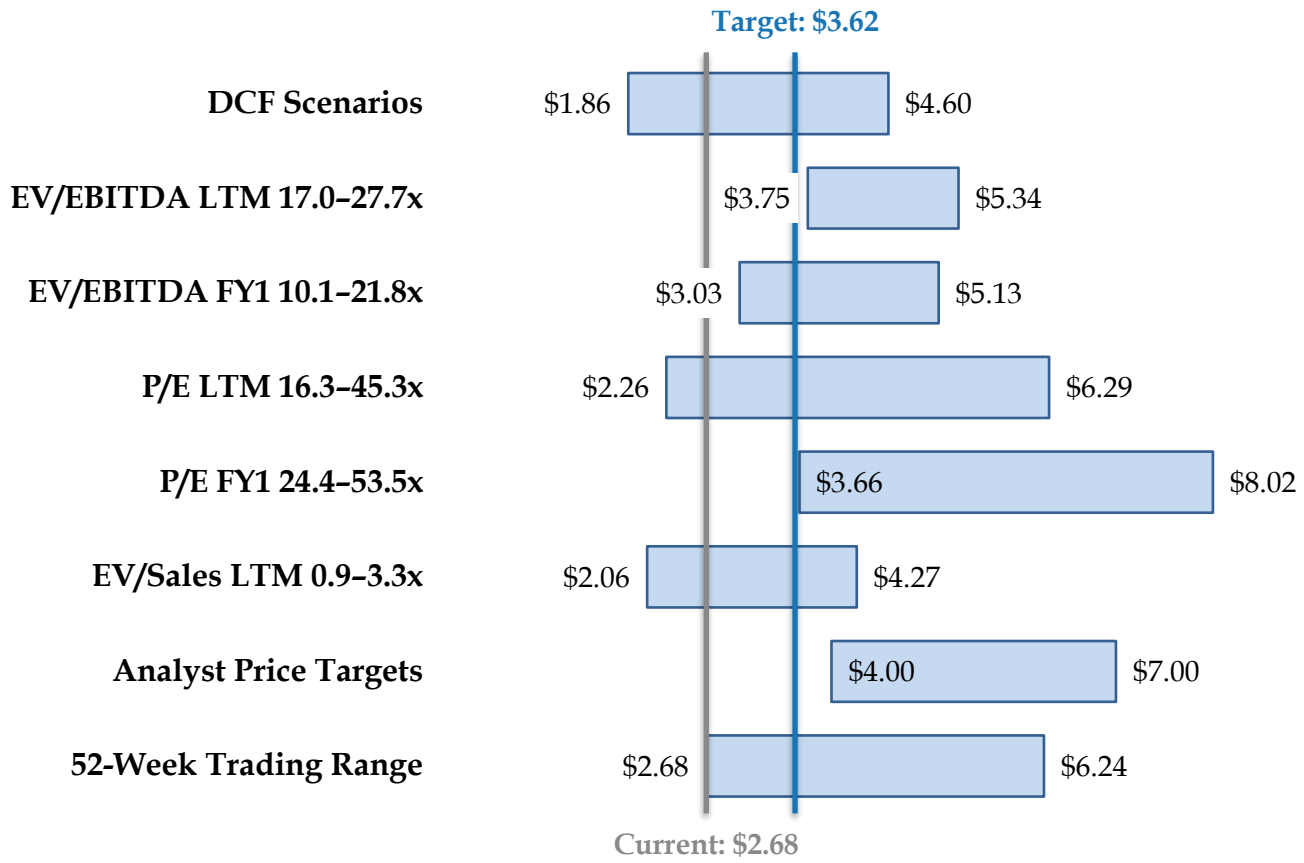
| | |
|---|---|
| EV/EBITDA LTM 20.8x | **$4.31** |
| EV/EBITDA FY1 14.8x | **$3.89** |
| P/E LTM 29.7x | **$4.13** |
| P/E FY1 31.7x | **$4.74** |
| EV/Sales LTM 1.4x | **$2.49** |
| **Weighted Target** | **$4.13** |

# Valuation Summary



Even counting stock-based pay as a cost, our DCF values Grab at $3.62 by May 2027 (+35%); analysts average $5.43.

## Implied Share Price by Method (USD)




| | |
|---|---|
| **Current Price** | **$2.68** |
| **Target (May 2027)** | **$3.62** |
| **Implied Upside** | **+34.9%** |
| **Consensus Target** | **$5.43** |
| **Method** | **DCF** |

## What the Base Case Needs

| Needs | Base case | Supported by |
|---|---|---|
| **Growth, yrs 1-5** | 19% consensus (11% priced in) | Drivers I + II |
| **Margin after stock pay** | 1% (FY26E) to 12% | Drivers I + II |
| **Net cash per share** | $1.23 | Balance sheet |
| **Today to target** | $3.39 to $3.62 | Cost of equity 11.6% |

Stock pay ($280M a year, 6.7% of revenue) is subtracted every year; analysts ignore it

# Valuation – DCF Scenarios



At $2.68, the price is below our value even if Indonesia also caps car rides ($3.04), the only extension under discussion.

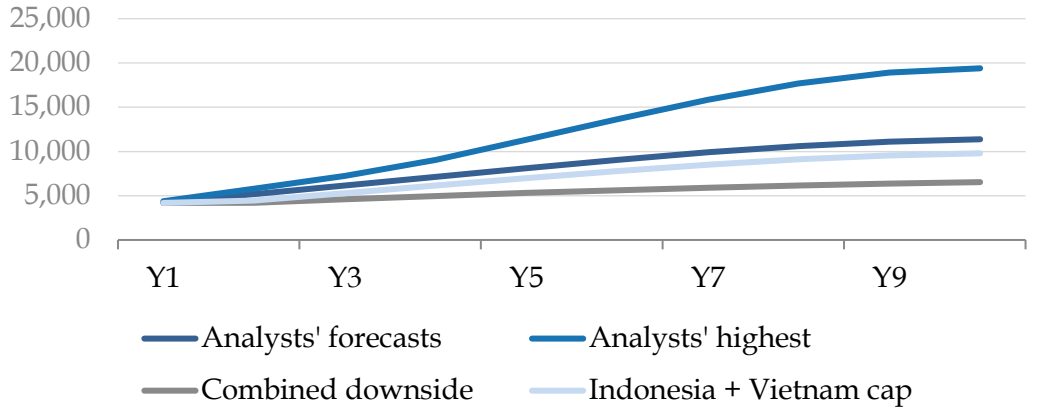
## Worst / Base / Best Cases

| Scenario | Case | Value / Share | Upside |
|---|---|---|---|
| Combined downside | Downside | $1.86 | -30.7% |
| Indonesia + Vietnam cap | Stress | $2.00 | -25.4% |
| **Analysts' forecasts** | **Base** | **$3.39** | **+26.4%** |
| Analysts' highest | Best | $4.60 | +71.6% |
| **Price Target (31 May 2027)** | | **$3.62** | **+34.9%** |

## Value per Share if the 8% Cap Spreads

| If the cap covers... | Status | Revenue | Value | vs Price |
|---|---|---|---|---|
| Indonesian motorbike taxis | In force (Jul 2026) | -1.2% | $3.27 | +22.1% |
| + Indonesian cars | Discussed, no date | -3.5% | $3.04 | +13.3% |
| + Indonesian food delivery | Not proposed | -10.3% | $2.37 | -11.7% |
| **Indonesia + Vietnam cap (stress)** | **Not proposed** | **-13.9%** | **$2.00** | **-25.4%** |

## Revenue by Scenario (USD MM)




### Reverse DCF

Today's price is consistent with **10.8%** a year revenue growth (next 5 years), vs analysts' **19.3%**

- Combined downside: growth half of analysts' forecasts, peer-level margins, and Indonesia caps all rides and delivery
- Base = analysts' forecasts; best = their highest; all cases subtract stock pay as a cost

# Risks & Catalysts



The key risks are wider fee caps, credit losses and fuel costs; Q3 results (~3 Nov) are the first test of all three.

## Key Risks & Mitigants

| | |
|---|---|
| **Commission caps spread** | **Mitigant:** Today's cap costs ~1% of revenue; with cars capped (discussed) value is still above the price; food (not proposed) -12% |
| **Grab's cut of each fare keeps falling** | **Mitigant:** Rides +35% (Q2 2026 vs Q2 2025) offset lower fees, but margins depend on incentives (10.9% of order value) |
| **Credit losses in lending and Atome** | **Mitigant:** Share of loans in default stable and expected losses falling so far (Grab); Atome bought in phases (60% first) |
| **Oil shock and driver protests** | **Mitigant:** Guidance raised in Aug 2026 despite $100+ oil; record drivers (+19% vs Q2 2025); EV partnerships (BYD, GAC, Wuling) cut fuel costs |

## Upcoming Catalysts

**~3 Nov (unconfirmed)**
Q3 results, a week after the pitch: first full quarter with the Indonesian cap

**Feb 2027**
H2 results: fintech breakeven and credit quality confirm the second engine

**Through Sep 2027**
~$900M buyback (~7% of shares at today's price) lifts value per share

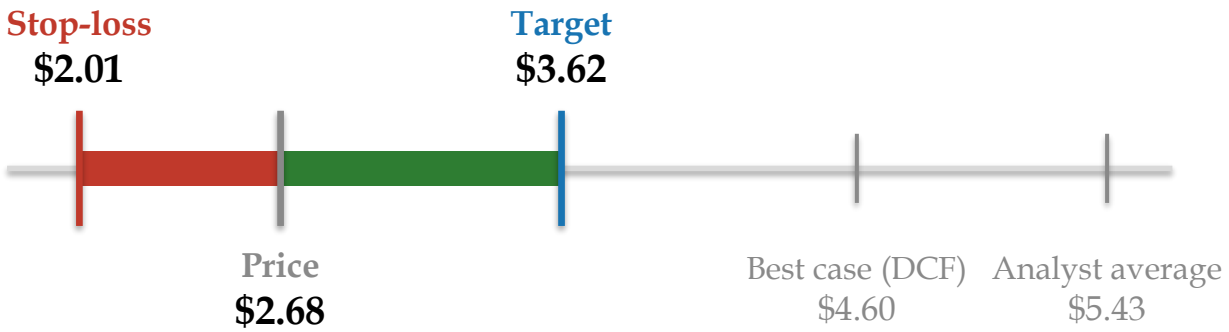
**By Q3 2027**
Atome first close: tests the $500M 2028 fintech target

# Conclusion – Risk / Reward



Long Grab: +35% to our $3.62 target and +72% in the best case, against -25% to the $2.01 stop.

## Risk / Reward (May 2027)




| Upside to target | Downside to stop | Reward : risk |
|---|---|---|
| +34.9% | -25.0% | 1.4 : 1 |

**Stop-loss $2.01:** at our value if Indonesia and Vietnam both capped fees ($2.00); room for normal swings and Q3 results.

Our stress cases (-25% to -31%) assume fee caps no government has proposed; the stop sits at the -25% case.

## Recommendation

**LONG GRAB**

**Target $3.62 (May 2027) | Stop $2.01**

## Why We Own It

- Profits inflecting: adj. EBITDA margin 13% to 17% (Q2 2025 to Q2 2026)
- Fintech and Atome nearing breakeven; $500M EBITDA target for 2028
- Even with car rides capped too, our value ($3.04) is above the price

## We Exit If

- The 8% cap reaches food delivery or a second country
- Margins stop rising in the Q3 or Q4 2026 results
- Fintech misses H2 2026 breakeven or credit losses rise

# Appendix – Peer Set



Full peer set behind the comparable-company statistics.

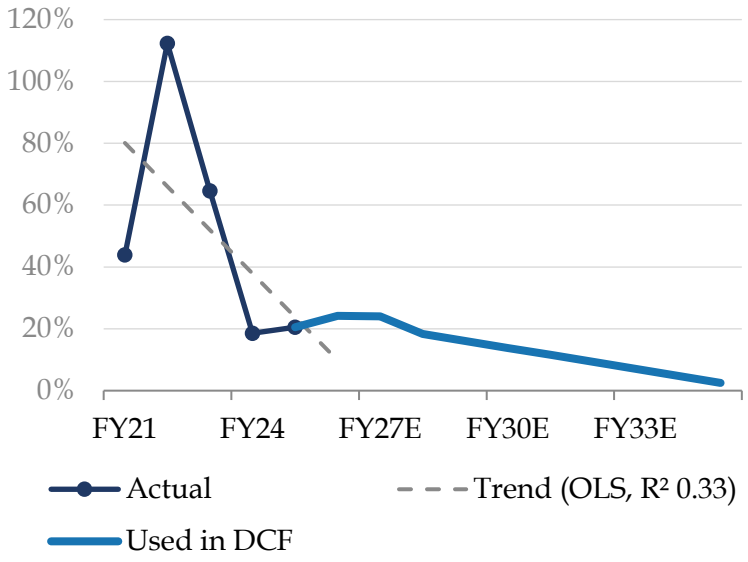
| Full Peer Set (9 companies) | | | | | | | |
|---|---|---|---|---|---|---|---|
| **Company** | **Mkt Cap ($bn)** | **EV/EBITDA LTM** | **EV/EBITDA FY1** | **P/E LTM** | **P/E FY1** | **EV/Sales LTM** | **Sim. Weight** |
| Uber Technologies | 138.1 | 18.0x | 13.1x | 14.8x | 20.5x | 2.7x | 9% |
| Doordash | 79.9 | 37.0x | 20.9x | 96.9x | 71.0x | 4.9x | 15% |
| Lyft | 6.4 | 20.8x | 8.1x | 2.4x | 31.7x | 0.8x | 12% |
| Sea | 44.2 | 13.9x | 10.1x | 29.7x | 25.7x | 1.4x | 17% |
| MercadoLibre | 94.0 | 25.4x | 24.3x | 50.5x | 47.7x | 2.8x | 11% |
| Nu Holdings Ltd. | 72.7 | 25.2x | 21.8x | 20.5x | 17.3x | 5.9x | 7% |
| GoTo Gojek Tokopedia | 1.6 | 1.8x | 0.9x | n/a | 30.0x | n/a | 8% |
| Meituan | 56.1 | n/a | 28.3x | n/a | 188.2x | 0.8x | 10% |
| Delivery Hero SE | 13.1 | 34.6x | 14.8x | n/a | n/a | 0.9x | 10% |
| **25th Percentile** | **13.1** | **17.0x** | **10.1x** | **16.3x** | **24.4x** | **0.9x** | |
| **Median** | **56.1** | **23.0x** | **14.8x** | **25.1x** | **30.8x** | **2.0x** | |
| **75th Percentile** | **79.9** | **27.7x** | **21.8x** | **45.3x** | **53.5x** | **3.3x** | |
| **Similarity-Weighted** | | **20.8x** | **14.8x** | **29.7x** | **31.7x** | **1.4x** | |
| **Grab Holdings** | **11.0** | **12.1x** | **10.0x** | **19.3x** | **17.9x** | **2.0x** | |

# Appendix – How the DCF Inputs Were Set (1/2)

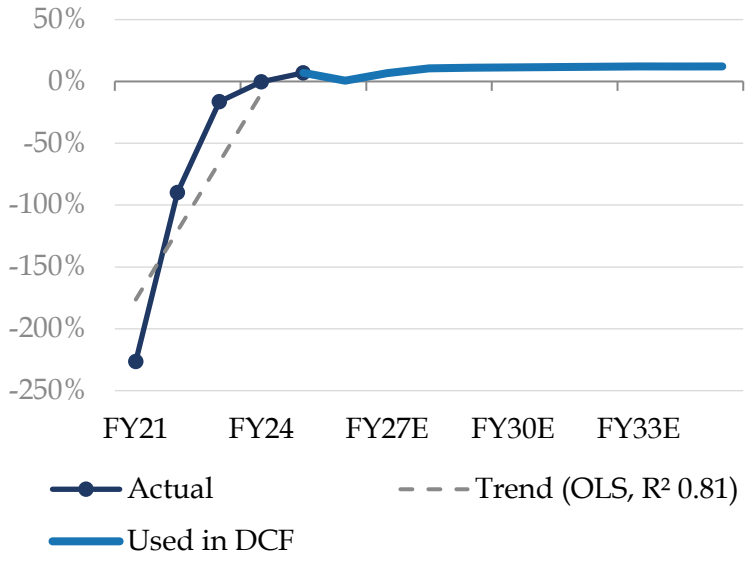


Growth and margins follow consensus, then fade; history is pre-profit, so trends say little.

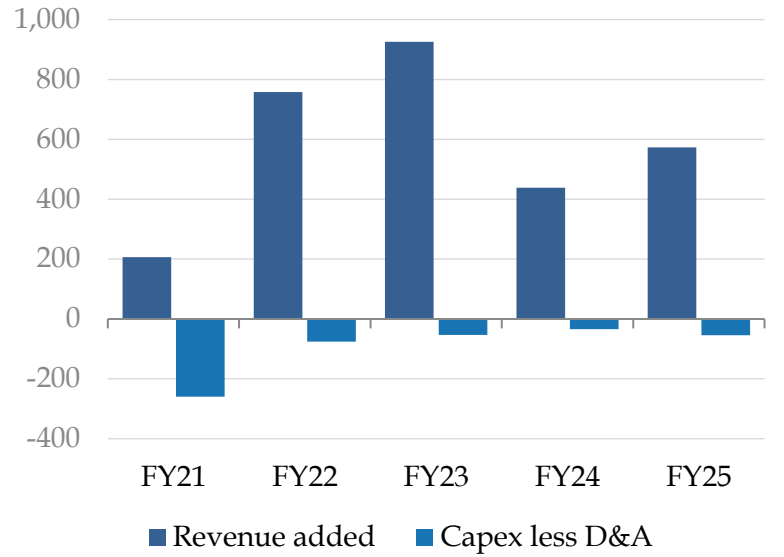
## Revenue Growth




## EBIT Margin




## Reinvestment (Sales-to-Capital)




### Used: 24.2% → 2.5%

Consensus for the first 3 years, then a straight-line fade to 2.5% terminal growth (at most the long-run risk-free rate).

### Used: 15.3% steady state

Consensus EBIT margins for 3 years; the steady-state margin is rises to the peer 75th percentile (10.7%, capped at 45%).

### Used: 5.00x

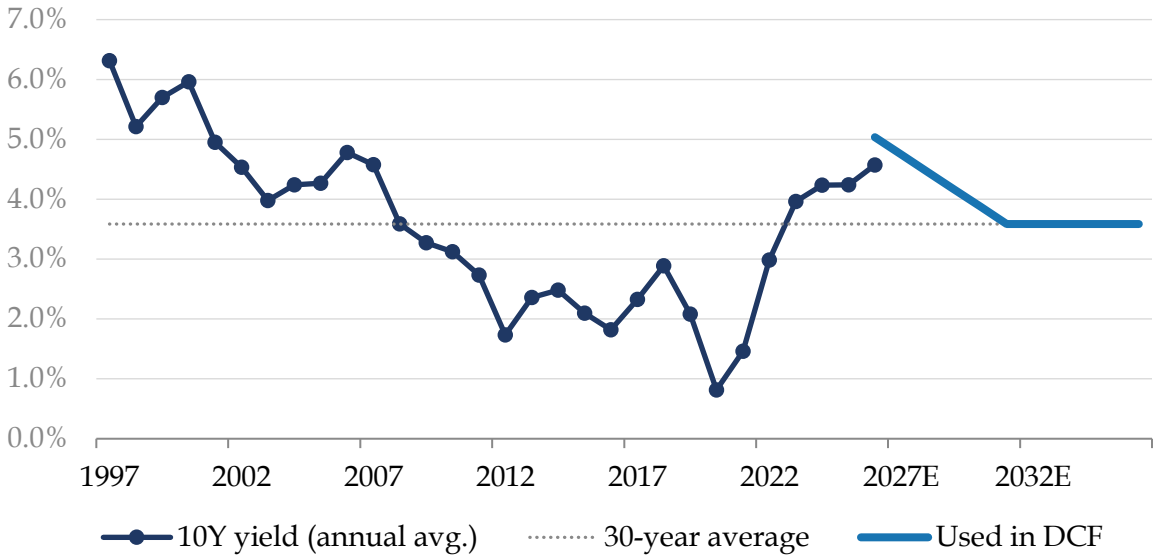
Revenue added 2,901 vs net capex -477 (USD MM) = n/m (capex ≈ D&A), bounded to 0.8–5.0x; each new $ of revenue needs $0.20 of capital.

# Appendix – How the DCF Inputs Were Set (2/2)

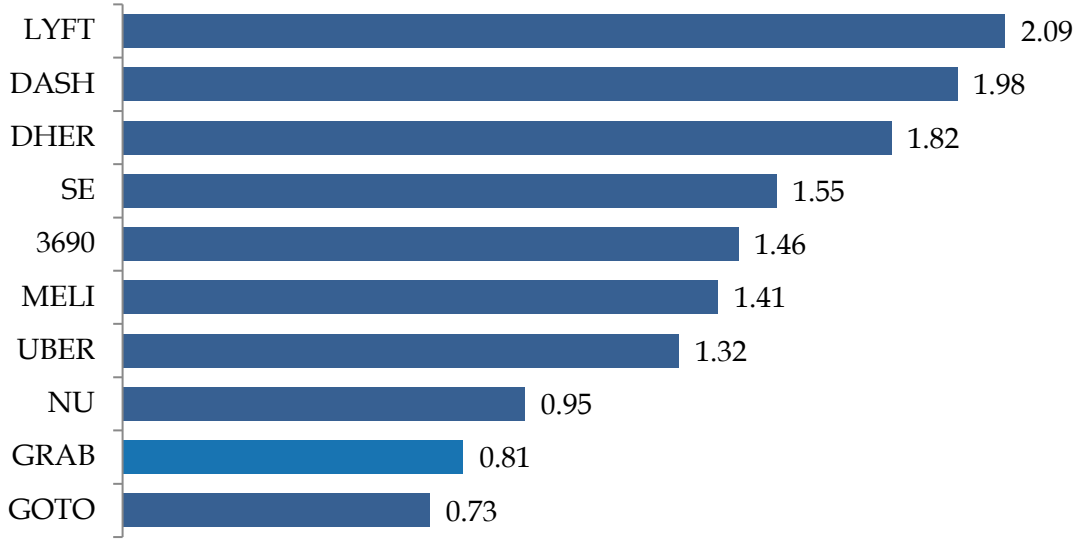


The discount rate uses a peer beta and a risk-free rate fading to its 30-year average.

## Risk-Free Rate (US 10Y Treasury)




## Beta (5-Year Regression vs Index)




**Used: 5.04% → 3.59%**

Today's yield fades to its 30-year average by year 5, spanning several rate cycles (shorter windows: 20-year 2.9%, 10-year 2.9%).

**Used: 1.31**

Median peer beta 1.46, Blume-adjusted (0.67 × raw + 0.33) to 1.31; GRAB's own is 0.81. Cost of equity = rf + β × 5.0% ERP.

# Appendix – DCF Sensitivity



Value depends far more on growth and margins than on discount rates.

**WACC vs Terminal Growth**

| WACC (all years) ↓ Terminal growth → | 2.0% | 2.5% | 3.0% |
|---|---|---|---|
| **-1.0 pts** | $3.70 | $3.81 | $3.93 |
| **-0.5 pts** | $3.50 | $3.58 | $3.67 |
| **9.4% terminal** | $3.32 | **$3.39** | $3.46 |
| **+0.5 pts** | $3.17 | $3.22 | $3.28 |
| **+1.0 pts** | $3.03 | $3.08 | $3.12 |

**Revenue Growth vs Steady-State Margin (Base Case)**

| Growth, yrs 1-5 ↓ EBIT margin after SBC → | 8.0% | 10.0% | 12.1% | 14.1% |
|---|---|---|---|---|
| **10.8% (priced in)** | $2.21 | $2.40 | $2.59 | $2.78 |
| **12.0%** | $2.28 | $2.48 | $2.69 | $2.89 |
| **19.3% (consensus)** | $2.76 | $3.07 | **$3.39** | $3.70 |
| **22.3%** | $3.00 | $3.37 | $3.76 | $4.12 |

Base-case value per share today vs the $2.68 share price: **green** above it, **red** below. Boxed cell = inputs used.

**Reverse DCF:** Today's price is consistent with **10.8%** a year revenue growth (next 5 years), vs analysts' **19.3%**

- At consensus growth, a ~12% steady margin after stock pay is needed to reach the base case

# Appendix – DCF Projection (Consensus)



Consensus-case DCF projection.

| USD MM | FY26E (18%) | FY27E | FY28E | FY29E | FY30E | FY31E | FY32E | FY33E | FY34E | FY35E |
|---|---|---|---|---|---|---|---|---|---|---|
| **Revenue** | **4,185** | **5,191** | **6,143** | **7,132** | **8,117** | **9,056** | **9,897** | **10,593** | **11,098** | **11,375** |
| Growth | 24.2% | 24.0% | 18.4% | 16.1% | 13.8% | 11.6% | 9.3% | 7.0% | 4.8% | 2.5% |
| EBIT Margin | 0.6% | 6.6% | 10.5% | 11.0% | 11.4% | 11.7% | 11.9% | 12.0% | 12.1% | 12.1% |
| NOPAT | 21 | 271 | 507 | 620 | 731 | 837 | 931 | 1,007 | 1,060 | 1,085 |
| Reinvestment | 201 | 191 | 198 | 197 | 188 | 168 | 139 | 101 | 55 | 57 |
| **Free Cash Flow** | **-180** | **81** | **310** | **422** | **544** | **669** | **792** | **906** | **1,005** | **1,028** |
| PV of FCF | -32 | 72 | 251 | 312 | 368 | 414 | 448 | 469 | 475 | 445 |

## Enterprise Value Bridge

| | |
|---|---|
| PV of FCF (Yrs 1–10) | **$3.2bn** |
| PV of Terminal Value | **$5.6bn** |
| Enterprise Value | **$8.8bn** |
| Plus Net Cash | **$5.0bn** |
| Value per Share | **$3.39** |

## Discount Rate

| | |
|---|---|
| Cost of Equity Today (CAPM) | **11.6%** |
| Pre-tax Cost of Debt | **6.5%** |
| Tax Rate | **21.0%** |
| WACC (Year 1 → Terminal) | **10.5% → 9.4%** |
| Terminal Value Share of EV | **63.5%** |

## Key Assumptions

| | |
|---|---|
| WACC (Year 1 → Terminal) | **10.5% → 9.4%** |
| Terminal Growth | **2.5%** |
| Terminal ROIC | **12.4%** |
| Steady Margin (after SBC) | **12.1%** |
| Sales-to-Capital | **5.00x** |
| Consensus Growth (Yrs 1–5) | **19.3%** |